AL ELITE

FREE WORKSHEET · CONSTRUCTION EQUIPMENT

Equipment Buy vs Lease Decision Worksheet

Compare a loan, a $1 buyout lease and an FMV lease on the same lines, work out cost per operating hour, and make the call with your CPA's questions answered.

INSIDE

- Machine and usage profile
- Total-cost-minus-ownership math
- CPA tax questions
- Three structures side by side
- Cost per operating hour
- Decision checklist

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AL Elite Financing is a matching service, not a lender. This resource is general information, not legal, tax, insurance or financial advice.

The machine and the work

EQUIPMENT (MAKE / MODEL / NEW OR USED)

PRICE

HOURS PER YEAR IT WILL WORK

Under ~300: consider renting; 1,200+: usually own

YEARS YOU'LL KEEP IT

EXPECTED RESALE VALUE AT THE END

Dealer or auction comps

- [ ] Heavy use, will modify or add attachments
- [ ] Cash is tight this year
- [ ] Want to own it at the end
- [ ] Need regular upgrades / emissions rules
- [ ] Project-based need (fixed term)
- [ ] Want predictable bundled maintenance

Three structures, side by side

Get a quote for each structure and fill in the same lines. The decision turns on total cost minus what you own at the end.

Line	Equipment loan	$1 buyout lease	FMV lease
Lender / lessor			
Upfront (down payment / first & last)			
Rate or money factor			
Term (months)			
Monthly payment			
Total of payments			
End-of-term cost (buyout / return)			
Hour limits / excess-use charges			
Who pays maintenance and insurance			
Early payoff / termination terms			
Value you own at the end			

A **Loan: total paid − resale value you keep**

B **$1 buyout: total paid + $1 − resale value you keep**

C **FMV lease: total paid (+ buyout if you keep it)**

Example

$150,000 excavator over 60 months: loan with 10% down about $2,868/month ($187,100 total, you own it); $1 buyout lease about $3,298/month ($197,900 total, you own it); FMV lease about $2,469/month ($148,100 total, own nothing; buying it out at a $52,000 residual takes it to about $200,100).

Cost per operating hour

D	Annual payments	
E	Annual insurance, maintenance, storage, transport	
F	Annual resale value credit (resale ÷ years kept) Owning only	
G	**Annual cost = D + E − F**	
H	Hours per year	
I	**Cost per hour = G ÷ H** Compare with your rental rate per hour	

Tax questions for your CPA

- [ ] Does Section 179 or bonus depreciation apply this year, and at what limits?
- [ ] Operating lease payments vs depreciation: which suits our tax position?
- [ ] Any state differences?

Decision

- [ ] Compared total cost minus what we own at the end, not just payments
- [ ] Checked hour limits and return conditions on any lease
- [ ] Noted the end-of-term notice window (many leases auto-renew)
- [ ] Confirmed the work exists before financing the machine
- [ ] Photographed the machine at delivery and kept maintenance records

- [ ] Equipment loan
- [ ] $1 buyout lease
- [ ] FMV lease
- [ ] Rent for now

WHY, AND WHAT WOULD CHANGE IT

Ready to compare contractor business loans?

alelitefinancing.com/contractor-business-loans/ reaches lenders who work with contractors in your state. Or call (888) 968-0079.